PRESS RELEASE

Mahlega Abdsharafat and Creative Hospice Settle Health Care Kickback Claims for $9.2 Million

Wednesday, June 11, 2025

For Immediate Release

U.S. Attorney's Office, Northern District of Georgia

ATLANTA – Mahlega Abdsharafat, also known as "Mallie Sharafat," Creative Hospice Care, Inc., and affiliated companies (collectively, the "Creative Hospice entities") have paid $9.2 million to settle allegations that Abdsharafat and the Creative Hospice entities entered into kickback arrangements with medical directors in exchange for referrals of hospice patients to Creative Hospice in violation of the Anti-Kickback Statue and the False Claims Act.

"A physician's health care decision should be based solely on the needs of the patient rather than the physician's financial interests," said U.S. Attorney Theodore S. Hertzberg. "Health care providers who place unlawful personal gain above their duty of care to patients must be held accountable for their dishonesty."

"Patients should not have to wonder if their doctors' medical decisions are being driven by unlawful inducements," said FBI Atlanta Special Agent in Charge Paul Brown. "We will continue to hold accountable individuals, as well as companies, who participate in kickback schemes that threaten the integrity of our healthcare system."

"Health care providers that participate in kickback schemes undermine the integrity of federal health care programs," said Kelly Blackmon, Special Agent in Charge at the Department of Health and Human Services, Office of Inspector General (HHS-OIG). "This settlement demonstrates HHS-OIG's unwavering commitment with our law enforcement partners to hold those accountable who put profit and personal gain ahead of the legitimate medical services."

"Decisions regarding end-of-life care are incredibly difficult and personal, and families must be able to trust the intentions of their chosen providers," said Georgia Attorney General Chris Carr. "Those who instead take advantage of the system for their own personal gain will be held accountable."

The government's investigation began when a former Creative Hospice employee responsible for marketing Creative Hospice's services to health care providers filed a whistleblower complaint alleging that Creative Hospice paid kickbacks to medical directors to induce them to refer patients to Creative Hospice. These alleged kickbacks included monthly stipends and a signing bonus paid to the medical directors. The compensation allegedly increased when the medical director referred more patients and decreased when the medical director failed to make referrals. Two additional whistleblower complaints were subsequently filed involving similar allegations.

The Government alleges that these arrangements violated the Anti-Kickback Statute, 42 U.S.C. § 1320a-7b(b), and caused the submission of false claims in violation of the False Claims Act (FCA), 31 U.S.C. § 3729, *et seq.*

This settlement resolves three lawsuits brought under the *qui tam* or whistleblower provisions of the FCA in the U.S. District Court for the Northern District of Georgia: *United States of America, ex rel. John Doe, et al. v. Homestead Hospice, et al.*, No. 1:15-cv-00840-TWT; *United States of America and State of Georgia, ex rel. Cletus William Cole v. Homestead Hospice Management, LLC, et al.*, No. 1:22-cv-04242-MLB; and *United States of America, ex rel. Renee Luchtman, et al. v. Homestead Hospice Management, LLC, et al.*, No. 1:21-cv-04952-TWT.

Under the FCA, whistleblowers, also known as "relators," may bring suit for false claims on behalf of the United States and share in any recovery obtained by the government. The relators who filed the three lawsuits against the Creative Hospice entities have received over $1.5 million from the settlement.

The claims resolved by the settlement are allegations only, and there has been no determination of liability.

This case was investigated by the U.S. Attorney's Office for the Northern District of Georgia, the Federal Bureau of Investigation, U.S. Department of Health and Human Services, Office of Inspector General, and the Medicaid Fraud Division of the Georgia Attorney General's Office.

The investigation and resolution of this matter was handled by Assistant U.S. Attorney Neeli Ben-David and Georgia Senior Assistant Attorney General Sara Vann. Former Assistant U.S. Attorney Akash Desai also worked on the investigation.

For further information please contact the U.S. Attorney's Public Affairs Office at USAGAN.PressEmails@usdoj.gov or (404) 581-6280. The Internet address for the U.S. Attorney's Office for the Northern District of Georgia is http://www.justice.gov/usao-ndga.

Updated June 11, 2025

Topic

FALSE CLAIMS ACT

Components

Federal Bureau of Investigation (FBI) | USAO - Georgia, Northern

Related Content

PRESS RELEASE

Texas Laboratory, Former CEO, and Florida Businessman Pay $36.4 Million to Settle Health Care Fraud Allegations

Access DX Laboratory (“Access DX”), its former CEO Michael Stewart, and Florida businessman Harold Shatz will pay a combined total of $36.4 million to resolve allegations that they violated the...

July 30, 2026

PRESS RELEASE

German Subsidiary in Peachtree City Settles PPP Fraud Claim for $2.6 Million

Universal Environmental Services, LLC (“UES”), a Peachtree City, Georgia-based subsidiary of a large German conglomerate, will pay $2.6 million to resolve allegations that the company violated the False Claims Act...

July 27, 2026

PRESS RELEASE

Advanced Urology and Jitesh Patel will pay $14 million to settle False Claims Act case involving allegations of fraudulent billing and unnecessary medical procedures

April 2, 2026

Northern District of Georgia

Main Office: